Customer ID: 120
Date: April 13, 2026

Customer Churn Risk Report

Prediction: Stay – 44.15% chance of churn
Risk Label: No Risk

Top Drivers

1. **Total Monetary Value**:
   - **SHAP Value**: 13.65% (Positive)
   - **Impact**: This feature positively impacts churn risk, indicating customers with lower total monetary value are at higher risk.
2. **Total Orders Made for Stock**:
   - **SHAP Value**: 7.24% (Positive)
   - **Impact**: Increased churn risk is associated with a higher number of orders made for stock, suggesting customers may become disengaged if stock orders are not aligned with their expectations.
3. **Customer Order Issue Rate**:
   - **SHAP Value**: 5.75% (Positive)
   - **Impact**: An increase in the customer order issue rate raises churn risk, indicating dissatisfaction stemming from frequent order issues.
4. **Order Frequency**:
   - **SHAP Value**: -70.18% (Negative)
   - **Impact**: Higher order frequency decreases churn risk, demonstrating that more frequent customers are generally less likely to churn.
5. **Recency**:
   - **SHAP Value**: -23.13% (Negative)
   - **Impact**: Recent interactions lower the churn risk, highlighting the importance of keeping customers engaged recently.

Business Interpretation

- **Total Monetary Value**: Suggests that customers who spend less tend to have a higher likelihood of leaving. Focus on increasing transaction amounts per customer.
- **Total Orders Made for Stock**: Indicates potential misalignment in inventory and consumer needs. High-order volume could imply unmet expectations.
- **Customer Order Issue Rate**: A clear indicator of operational shortcomings; addressing order errors is critical in retaining customers.
- **Order Frequency**: Frequent buyers are engaged, requiring strategies to encourage consistent purchasing habits.
- **Recency**: Active engagement leads to lower churn risk. Regular communications or offers to "lapsed" customers are crucial.

Recommendations

Recommendation 1: Improve Customer Satisfaction through Order Accuracy

- **Action**: Implement a quality control process to reduce the customer order issue rate by 50%.
- **Estimated Impact**: High
- **Implementation Difficulty**: Moderate
- **Responsible Roles**: Operations and Quality Control Team
- **Success Metrics**: Track reduction in order issues and monitor customer satisfaction ratings.

Recommendation 2: Increase Engagement with Targeted Offers

- **Action**: Design targeted campaigns for low total monetary value customers, providing incentives to increase average order values (e.g., discounts on higher purchase brackets).
- **Estimated Impact**: High
- **Implementation Difficulty**: Easy
- **Responsible Roles**: Marketing Team
- **Success Metrics**: Measure the increase in the average transaction size and monitor changes in customer churn rates.

Recommendation 3: Develop a Loyalty Program

- **Action**: Launch a loyalty program that rewards customers for higher order frequency and total monetary value to improve overall engagement.
- **Estimated Impact**: Medium
- **Implementation Difficulty**: Moderate
- **Responsible Roles**: Marketing and Customer Relations Teams
- **Success Metrics**: Monitor enrollment rates in the program and analyze their impact on churn over time.

By focusing on these targeted strategies, the business can significantly enhance customer retention and reduce churn risks while improving overall satisfaction and loyalty.